opposed to the income approach. And the wealthier you are and the larger your income, the larger this gap will be.

Here is an example of how the expense approach might work. If you earn $100,000 per year, and you expect this number to remain fairly constant in real terms (after inflation) for the rest of your life, the income approach might lead to about $1,000,000 in life insurance coverage, which arguably could be the present (discounted) value of your wages and salary. The expense approach might compute the costs of living expenses for your family, such as feeding and putting your kids through school, which might only be $500,000. Thus, any number between $500,000 and $1,000,000 would be acceptable as a death benefit on a life insurance policy. Either way, before you get life insurance, sit down with your family members, and possibly an insurance professional, and do an income and expense analysis. The process will be quite revealing.

### *Can We Put a Value on What a Life Is Worth?*

After the tragic events of 9/11, a program created by Congress and headed by retired Judge Kenneth Feinberg was assigned the extremely difficult and unprecedented task of allocating a compensation fund to the families of more than 5,500 dead and injured victims in the terrorist attacks. Although it was a challenge to select the appropriate process, ultimately, a human capital-like measure was used to allocate the funds, in which it was the victim's expected income that had a critical role in determining the award by the program. The average award that was paid for each income level category is listed in Table 2.4. Again, no award, of course, would have been sufficient compensation for the resulting loss and grief. However, this process attempted to arrive at a fund allocation that would be linked to economic loss.

As you can see, although estimating the economic value of a human life is quite difficult, in some cases it must be done. Notice from the table how victims whose salary and wages were higher tended to receive greater compensation compared to those with a lower income. Although some might not consider this to be fair—and strong arguments can be made both in favor and against this policy—the bottom line is the strong link between the value of human capital and one's wages and salary.